

## DECODING THE BINARY BATTLE

**SPECTRUM IS AIRWAVES** which carry sound on a given frequency or band.

**IT IS SCARCE BECAUSE** there is limited bandwidth and a major chunk of the airwaves is controlled by defence forces.

**DoT HAS EARMARKED** 100 MHz on 900 and 1800 MHz band frequencies for 2G services. Currently, telecom outfits have access to 37 MHz.

**GOVERNMENT HAS** promised DoT that an additional 60-65 MHz will be vacated by defence forces. Already 22 applications are pending and additional licences are to be issued.

**TILL NOW** every GSM player got 6.2 MHz on the 900 and 1800 MHz band frequencies and CDMA players got 5 MHz in the 800 MHz frequency. Additional spectrum was issued according to subscriber addition norms which vary from circle to circle. In some, players have been issued 10 MHz.

**BUT THERE IS A CRUNCH** as the service quality of calls has deteriorated. The Government believes mobile operators are not investing enough while

the operators demand additional spectrum.

**THE TELECOM MINISTRY** asked TRAI to come up with new norms for spectrum allocation.

**TRAI HAS SUGGESTED** new norms and a more efficient usage of spectrum. It has raised the requirement of subscribers in Delhi and Mumbai for 10 MHz spectrum from one to two million. In other towns, the number has been increased fourfold.

**SERVICE PROVIDERS** will have to invest more in setting up towers and managing spectrum better.

**THE REAL WORRY** for operators is that new players may hog the available spectrum.

**THE ENTRY OF RELIANCE** Communications into GSM has stirred the pot as Anil Ambani has promised to bring down tariffs.

**THE PMO HAS ENQUIRED** with Telecom Minister A. Raja on allegations of favouritism. He has said that all changes have been transparent, that the current spectrum has enabled 250 million connections and that it will be available for growth once the defence forces vacate it.



**COMPETITION SHOULD SPUR GROWTH BUT SOME PEOPLE ARE BLOCKING THIS. WE WILL OVERCOME THE HURDLES.**

A. RAJA MINISTER FOR IT & COMMUNICATIONS

He has given a notice for a calling-attention motion to discuss its allocation. The battle has elicited reactions from unusual quarters too. A former diplomat has written to the Government suggesting measures like auction of spectrum on behalf of foreign investors. Back home, Minister of Commerce Kamal Nath, who has often campaigned for FDI, said prominent investors have made commitments, and in a letter, advised the prime minister to set up a GOM.

As pressure built up, DMK chief M. Karunanidhi stepped in to protect his protégé, Minister for IT and Communications A. Raja. Citing his party's opposition to cartels and monopoly, he requested UPA Chairperson Sonia Gandhi to allow Raja to function independently. When Manmohan called the minister to enquire about the fracas, Raja walked him through the process followed by DoT in the new initiatives. Raja said that there was enough spectrum available for growth and that "there are vested interests who want to stall efficient management of spectrum and prevent competition and growth". His calculation is simple. With 35 MHz, India has notched 250 million subscribers. With an additional 35 MHz expected soon even at existing norms, 250 million more subscribers could be added. And with the new TRAI norms and further vacation of spectrum by the defence services, mobile telephony could touch saturation with over 700 million subscribers. Raja also told the prime minister that Rs 25,000 crore could be raised—to help fund defence upgrades—via auctions to four private players and a PSU for the 3G services to be launched next year.

To comprehend the high-pitched battle, one has to understand what the Government has been advocating. The spectrum allocation policy is a complex alphanumeric formula of eligibility and subscriber norms. A GSM licensee gets 6.2 MHz and a CDMA operator gets 5 MHz. Last year, TRAI developed a formula for allocating additional spectrum to operators as and when they added subscribers. Last month TRAI advocated more stringent norms, whereby user efficiency was doubled. Objections by operators led to the matter being referred to the technical Telecom Engineering Committee (TEC), which compared Indian norms with that